Doglapan

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I was an average student till fifth grade, by sixth grade I had developed a drive to study.

Not only was I diligent about completing my work, but I was also competitive and hated losing marks.

While my dad ran his own CA practice, I was clear that it was not something I wanted to pursue. I realized that CA as a practice or that of a doctor or a lawyer had very little scalability and success was based on the number of hours you put in.

I have been a late bloomer for sure. But good things come to those who wait.

I did an internship in France when I was at IIT Delhi. I realized that the Indian education system took pride in their toppers while the French system took pride in the bottom of the batch, the fact that even the lowest in the marks hierarchy understood the basic concepts.

When I was preparing for the CAT exam for IIM s, I opted for the slightly distant Kailash colony center coaching classes since the girls there were more happening. That’s where I met my wife Madhuri.

I found people at IIT to be naturally super sharp, the folks at IIM seemed more driven.

IIM was a zero sum game and more a placement school than anything else.

If you had to succeed at IIM, the one skill you needed more than anything else was networking.

After IIM I joined Kotak. I was working on a project with Anchor electricals at their Gujarat unit when a sales tax raid happened. Someone there gave me a bag with Rs 2 lacs and asked to me walk out showing my Kotak card. I finally handed over the money to the Anchor people after a few days.

The second year at Kotak saw me raising money for the real estate giant Rustomjee. They were happy with me and they offered me the role of a CEO for their upcoming project. I was all of 26 at the time and I didn’t take the offer.

In all the work I did, I didn’t sit in on judgement over businesses. On the contrary, it was my solution oriented approach that ensured that I offered some very specific resolutions to issues.

Overall, the Kotak stint boosted my confidence immensely as I came face to face with successful founders. While I looked up to the founders I wasn’t in awe of them . I realized how they had taken the right steps at the right time to be where they were.

I moved from Kotak to Amex. Working in Amex was almost like being in a government job, a sarkaari naukar,only in this case the sarkaar was based in the US and spoke to us in dollars.

After Amex I joined Albinder in Grofers as their CFO in 2015.

As far as the Grofers business model was concerned, we pivoted from the marketplace model, where we didn’t stock any inventory to having our own dark stores. The big disadvantage with the marketplace model was that the inventory of the shopkeepers wasn’t live.

By mid 2016 the Grofers business model started stagnating. While we did business of $ 3 to 4 million every month, the burn was as much as $ 4 to 5 million a month.

The pain of losing money on every single order was hard for me to disregard. Our average order size was Rs 1000 to Rs 1200, our earnings net of discounts on such orders was Rs 120, whereas last mile delivery cost us Rs 150. I was closer than anyone else to the data and I knew that this growth story was unsustainable.

I had joined with a lot of enthusiasm and I was asked to leave Grofers. I realized I wasn’t being offered a fair deal and hence had to block a few bank accounts so that the founder Albi paid me what was promised and due to me.

I had been asked to leave Grofers and I hadn’t landed a better place, that can create a big dent in one’s self worth.

Viability and not just valuation was an important aspect of running a business.

I then joined PC jewelers to build their gold loan scheme business. I did a lot of work on streamlining the business and digitizing it.

Then the Nirav Modi incident happened and all gold stocks sank. I decided to quit.

Most people thought that my PC Jewelers stint was a backward step, but I didn’t think so. I understood the problems of a shopkeeper and the way technology can help him.

From the beginning at BharatPe we were clear that we had to keep costs low and I kept teams small. If as a tech company you hired a lot of people then you were in the operations business and not the tech business.

Having been a banker for most of my life, I saw that a bank works in silos or fiefdoms with the customer being incidental to the business.

My inherent dislike for bankers comes from the fact that every business works to wow their customers, but a bank tries to intimidate their customers.

As early as April 2019, we launched a lending product based on the purest principle of lending – cashflow discounting.

My philosophy was simple, if you build something fundamental, the market tends to adopt it and the product then has a lifetime value.

While I didn’t hire people from NBFC I always hired people who were passionate about the business.

One needs to pitch to 100 investors at least three times to get ten of them to commit.

I wrote to the Sequoia folks to increase my salary to Rs 60 lacs but they got back saying keep it at Rs 36 lacs. This was a reality check for me since VCs draw millions of salaries themselves,but they are loath to giving founders their due.

I made four bad hires – Suhail the CEO, Jasneet the CHRO, Sumeet Singh the general Counsel and Rajnish Kumar as Director.

All my cars are pre owned, and are funded by my savings on alcohol – being a teetotaler. So, now you know the recipe to own fancy cars – don’t drink.

A friend of mine told me “ you were doing what was right for the business and you became a martyr to your own cause”

I got into Shark Tank after my wife advised me to. To say we felt important would be an understatement as we felt truly pampered.

My style on shark tank was honest and blunt. My social media profile exploded, I went to 7 lac organic followers.

My stint on shark tank had two things – it was about something I was passionate about – entrepreneurship and I took the sheen off English as a language for large, organized businesses. I spoke a lot in Hindi.

Many people asked me if my appearance on shark tank led to my downfall. True or not, I have no regrets in doing shark tank.

I was turned into a villain by the media in the Nykaa share episode when I was actually being blackmailed for something I didn’t do.

My single linked in post on my lessons when I quit BharatPe was read by over 6.2 million people which told me that irrespective of the company narrative, people were willing to listen to the truth.

I continue to own 8.43 % of the BharatPe the company worth $ 240 million and am the single largest shareholder.

There you are, that's my story, it’s a story that had its share of heroes, villains, character artists and more.

Five success and failure lessons

Success

1. Fire in your belly
2. A job cannot make you rich
3. Innate desire to live the life of someone more successful and be in their shoes
4. Delegate, delegate, delegate
5. Don’t be transactional

Failure

1. Don’t forget as a founder, the game is between you and the customer alone.
2. The investor isn’t above you, nor is he a validation
3. Give your family a seat on the board, do not go by the western concept of arms length
4. Don’t be a martyr to your own cause
5. Beware of certain professions

I feel value destroying professions are drug peddling, prostitution, pimping, banking , journalism and legal professions.